

**Time:** 5 minutes**Outcome:** Distinguish legal tax assignment from economic burden.**Difficulty:** ●○○ Beginner

Tax Incidence without Elasticity



THE CORE IDEA

A tax creates a wedge between the price buyers pay and the price sellers receive. Legal assignment does not determine who bears the economic burden. Equivalent taxes on buyers or sellers create the same wedge and market outcome. Tax burden depends on market responses, not just who is legally assigned to pay.



HOW TO RECOGNIZE IT

- Look for a per-unit tax that separates the price buyers pay from the price sellers receive.
- Find the new quantity where the vertical gap between demand and supply equals the tax.
- The buyer burden is the rise in the buyer price; the seller burden is the fall in the seller price.
- Do not infer burden from who sends the tax payment to the government.

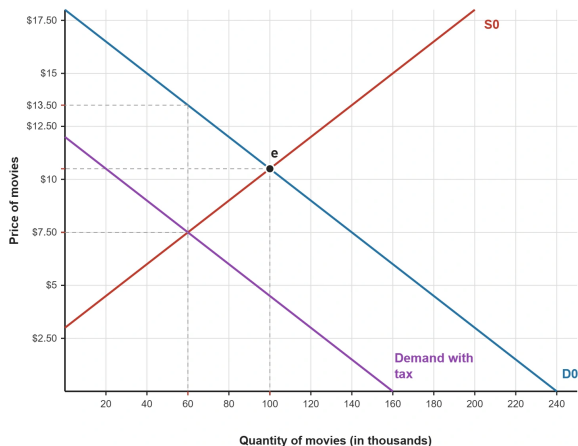


WATCH OUT

A common mistake is to assume that legal tax assignment determines the full economic burden. Tax burden depends on market responses, not just who is legally assigned to pay.



WORKED EXAMPLE: TRACING A TAX WEDGE



Before the tax, buyers and sellers trade at \$10.50. After the tax is imposed on buyers, the graph shows buyers paying \$13.50 while sellers receive \$7.50. Each side is \$3 away from the original price, so each bears half of the \$6 tax even though buyers are legally responsible for remitting it.



CHECK YOURSELF

At the post-tax quantity of 60 thousand movies, what price do sellers receive according to the supply curve?

**READY?**

Return to the game and master this concept.